Issue of Foreign Currency Sovereign Bonds Would Be a Good Policy

Indian companies and financial institutions have been raising foreign currency bonds for quite some time, though the government has not issued such bonds yet. At the end of June 2020, total outstanding external currency bonds issued by Indian corporates amounted to Rs 3.3 lakh crore or about $44.63 billion (at Rs 74 to a dollar).

There is a very strong case for India to initiate the issue of foreign currency-denominated sovereign bonds in external markets. If the government were to raise 10 per cent of annual borrowing, or about Rs 70,000–1,00,000 crore a year, in foreign currency bonds, the country would be able to build a portfolio of about $50–60 billion sovereign bonds in about five years and a $100 billion portfolio over ten years. Thereafter, there would be only incremental addition as there will also be repayments of the bonds issued. Assuming India's GDP to be about Rs 5 trillion after five years, such a bond portfolio would be only about 1 per cent of GDP. It might still be lower than even 10 per cent of India's foreign exchange reserves and smaller than the portfolio of foreign currency bonds issued by the private and public-sector financial and non-financial corporations.

First, the interest cost of government borrowing can be minimized, taking advantage of lower interest rates prevalent abroad, especially in advanced markets. India can borrow at good rates applicable to advanced countries.

Second, the sovereign bonds raised abroad would correspondingly reduce the supply of government bonds in domestic markets. As the government's general fiscal deficit is very high (over 7 per cent of GDP on average a year) and financial savings in the economy are very low (less than 10 per cent of GDP a year), the reduction in supply of government borrowing on account of foreign currency bonds would have a favourable